

FEDERAL MARITIME COMMISSION

Office of Administrative Law Judges

BED BATH & BEYOND INC., *Complainant*

v.

ORIENT OVERSEAS CONTAINER LINE LIMITED AND
OOCL (EUROPE) LIMITED, *Respondents*.

DOCKET NO. 23-02

Served: November 9, 2023

ORDER OF: Erin M. WIRTH, *Chief Administrative Law Judge*.

ORDER DENYING RESPONDENT'S MOTION FOR RECONSIDERATION OR LEAVE TO APPEAL

I. Introduction

On September 28, 2023, an order was issued denying a motion filed by Complainant Bed Bath & Beyond Inc. ("BBBY") seeking a partial decision on the pleadings ("Order"). On October 16, 2023, Respondents Orient Overseas Container Line Limited and OOCL (Europe) Limited (collectively "Respondents" or "OOCL") filed a motion for reconsideration or leave to appeal ("Motion"). On October 30, 2023, BBBY filed a memorandum in opposition to Respondents' motion ("Opposition").

Respondents move for reconsideration of specific aspects of the Order or, in the alternative, for leave to appeal pursuant to Commission Rule 221(a). Motion at 1. Respondents state that they "do not object to the ultimate dispositions of the two motions addressed in the Order," but rather that they "strenuously object" to what they describe as "certain advisory opinions enunciated in the Order." Motion at 1.

BBBY contends that Respondents' motion, "which curiously seeks to uphold the ultimate holding of the Order while stripping it of the legal analysis underlying that holding, fundamentally misunderstands the nature and legal standards governing motions to reconsider and interlocutory appeals and fails to satisfy any of the strict requirements for either type of extraordinary relief requested." Opposition at 2. Moreover, BBBY asserts that "[d]enying the motion will allow the parties to develop a full factual record to support a comprehensive Initial Decision following discovery. Then, and only then, should the parties have the opportunity, consistent with well-settled Commission procedure, to challenge portions of the Initial Decision before the full Commission." Opposition at 3.

The Order at issue denied BBBY's motion, which sought a decision in its favor with respect to Respondents' first, second, and third affirmative defenses. Thus, the Order addressed the proceeding from an unusual procedural posture, essentially putting the cart before the horse, by being asked to rule on whether certain defenses should be decided in Complainant's favor during the early stages of the proceeding, before discovery is completed or the case in chief is presented. The Order declined to strike any defenses, finding that "BBBY has not established

that a decision on Respondents' first three affirmative defenses is appropriate at this stage in the proceeding. Allowing the case to move forward will provide both sides an opportunity to undertake discovery to obtain relevant evidence and further develop their cases." Order at 15.

As explained below, Respondents' motion seeking reconsideration or leave to file an interlocutory appeal is denied. BBY stated in a November 8, 2023, interim status update that the parties are working on a joint submission summarizing discovery efforts to date and may need additional time to complete discovery. The parties should continue to work together to complete discovery expeditiously, should consider whether stipulations of fact could expedite the proceeding, and should promptly request any changes to the Revised Scheduling Order issued on August 23, 2023.

II. Request for Leave to File an Interlocutory Appeal

A. Overview

Respondents' motion for leave to appeal is filed pursuant to Commission Rule 221(a), which states:

Rulings of the presiding officer may not be appealed prior to or during the course of the hearing, or subsequent thereto, if the proceeding is still before him or her, except where the presiding officer finds it necessary to allow an appeal to the Commission to prevent substantial delay, expense, or detriment to the public interest, or undue prejudice to a party.

46 C.F.R. § 502.221(a) (previously Rule 153(a)). "Unless otherwise provided, the certification of the appeal will not operate as a stay of the proceeding before the presiding officer." 46 C.F.R. § 502.221(d).

Respondents object to what they describe as "advisory opinions" that they contend are inappropriate, incorrect, prejudicial, and unproductive, and argue that the criteria "strongly support granting an interlocutory appeal here, as it is necessary not only to avoid serious prejudice to OOCL, but also to avoid delay and expense, by providing an opportunity to clarify and resolve critical legal issues." Motion at 1-2. BBY contends that Commission Rule 221(a) does not permit an interlocutory appeal because Respondents have not demonstrated substantial delay, expense, detriment to the public interest, or undue prejudice. Opposition at 3-9.

The Commission has recognized that it is an "extraordinary step" to grant leave to petition the Commission "at the very outset of the case, to overturn the ALJ's jurisdictional ruling denying [a] motion to dismiss." *Inlet Fish Producers, Inc. v. Sea-Land Service, Inc.*, 29 S.R.R. 306, 315, 2001 WL 1632551, at *13 (FMC Sept. 19, 2001). (FMC 2001). The Commission has also held that it is appropriate to look to the procedures established for the district courts for guidance in determining whether an interlocutory appeal is appropriate. See *Amzone International, Inc. v. Hyundai Merchant Marine Co.*, 27 S.R.R. 386, 389 (FMC 1995). The factors discussed by the parties of substantial delay, expense, detriment to the public interest, or undue prejudice to a party are discussed below.

B. Factors

1. Delay and Expense

Respondents argue that an interlocutory appeal would “avoid delay and expense, by providing an opportunity to clarify and resolve critical legal issues” well before a final decision by the Commission and Court of Appeals. Motion at 2. BBY asserts that “allowing respondents’ Motion for Interlocutory Appeal will create substantial delay from the extra expense of appealing an issue that has not yet been finally decided on the merits.” Opposition at 4-5 (emphasis omitted).

Resolution of the issues raised in the underlying motion could not resolve this entire proceeding. The Order only addressed whether to grant a decision in Complainant’s favor on three of Respondents’ defenses because that is all that was requested by the underlying motion. Even if the underlying motion had been granted, that would not have resolved the proceeding as Complainant has the burden of proof and would still need to establish the alleged violations of the Shipping Act. Moreover, Respondents had not moved for a decision in their favor with respect to these defenses, and had not filed a motion to dismiss, so a decision in Respondents’ favor with respect to these defenses would not have been responsive to the motion presented. Indeed, as the Order indicated, ruling on the defenses at this early stage in the proceeding is premature.

Piecemeal litigation of issues in contention is more likely to result in greater delay and expense to the parties than a complete decision presented to the Commission for review. Indeed, BBY asserts that an interlocutory appeal would unduly delay the proceeding and that “Complainant, having filed for bankruptcy, would be prejudiced by any delay in discovery and the resolution of this matter.” Opposition at 2. An interlocutory appeal would not resolve the proceeding and could delay completion of discovery. Moreover, it is more typical and appropriate to evaluate defenses after a complainant has presented its case, so that the defenses can be viewed in light of the facts established. Therefore, Respondents have not established that an interlocutory appeal is necessary to prevent substantial delay or expense.

2. Public Interest

Respondents also contend that an interlocutory appeal would be in the public interest, arguing that the “legal conclusions reached in the Order will have impacts well beyond the instant proceeding,” including in other legal proceedings pending before the Commission or potentially before the Commission in the future. Motion at 5-6. BBY asserts that “Respondents cannot link the elements of substantial expense and detriment to the public interest because they are not governmental entities that spend public funds to litigate.” Opposition at 7.

The Commission will have an opportunity to review this proceeding after an initial decision is issued. As noted in a different context, in “the absence of immediate Commission review, the Commission can always review any and all issues raised before the ALJ if and when exceptions are filed to [the] Initial Decision.” *Expeditors International of Washington, Inc. - Possible Violations of Sections 10(a)(1) and 10(b)(1) of the Shipping Act of 1984*, 1999 WL 707748, at *2 (Aug. 19, 1999); see also *World Chance Logistics (Hong Kong), Ltd. - Possible*

Violations of Section 10 of the Shipping Act of 1984, 2010 WL 2175399, at *2 (FMC May 20, 2010) (“Even when a proceeding has previously been assigned to an ALJ and an initial decision has been rendered, the Commission nevertheless reviews a proceeding de novo.”).

To the extent these issues are raised in other proceedings, they are best addressed in those other proceedings. It is noted that the Order is not binding on any other proceedings. Indeed, the Order specifically permits the affirmative defenses to be raised after the record is developed in this proceeding. Moreover, the public is best served by an efficient determination of this dispute. Thus, Respondents have not established that the public interest supports an interlocutory appeal.

3. Undue Prejudice to a Party

Respondents contend that the Order is prejudicial to Respondents as it “effectively ruled in Complainant’s favor on some of Respondent’s main defenses;” Respondents “were not provided a full opportunity to brief the questions;” and they “render illusory Respondents’ right to address the matter in its brief.” Motion at 5. BBY asserts that no undue prejudice exists because “the Order does not make any final determinations regarding the parties’ claims or defenses;” the “Order repeatedly and explicitly states that it has not made any final decision on the rights of the parties;” if discovery were stayed during an interlocutory appeal, Complainant would be unduly prejudiced; and the parties “will soon have the opportunity to argue the merits fully after substantial discovery.” Opposition at 2, 7-9.

“One generally may not appeal a favorable order.” *Inlet Fish Producers, Inc., v. Sea-land Service, Inc.*, 2001 WL 1632551, at *13 (FMC Sept. 19, 2001). Moreover, Respondents are not prejudiced by an order that does not finally resolve any issues except finding that they may raise all of their defenses. To the extent that Respondents disagree with the legal analysis, they will have another opportunity to address those issues when they file their briefs. Respondents have not established that undue prejudice justifies permitting an interlocutory appeal.

C. Conclusion

Respondents have not established that delay, expense, detriment to the public interest, or undue prejudice support leave to file an interlocutory appeal. The next issue raised is whether or not to reconsider the Order.

III. Request For Reconsideration

Respondents assert that reconsideration of the Order is in the public interest, arguing:

The Order thus has the effect of deciding legal issues at the core of multiple proceedings pending before the FMC, and numerous disputes not pending but potentially before the agency in the future. Allowing an appeal to clarify these foundational legal questions will therefore serve the interest of efficient use of resources for the Commission and litigants in both current and future cases.

Motion at 5-6. Respondents do not identify factors to consider in determining whether to reconsider an interlocutory decision.

BBBY asserts that:

Respondents' Motion does not even articulate the legal standard governing such a motion, let alone demonstrate any basis for reconsideration beyond Respondents' dislike of certain claimed "dicta" contained in the Order. Respondents' mere disagreement with the Presiding Officer's legal conclusions does not create the manifest injustice or clear error required to disturb that Order.

Opposition at 2-3.

The Order did not strike any of Respondents' defenses. Therefore, after discovery, they will have another opportunity to raise any legal or factual issues that should be considered prior to issuing an initial decision. The Order specifically retained Respondents' ability to more fully brief the issues, therefore, Respondents will have an opportunity to address precedents not cited in their thirty-page opposition to the underlying motion. Indeed, if BBBY had not filed the underlying motion, Respondents would be in the same position to present their case. Respondents have not established a basis to reconsider the Order.

IV. Order

For the above-stated reasons, it is hereby **ORDERED** that Respondents' motion seeking reconsideration or leave to file an interlocutory appeal be **DENIED**. The parties should continue to complete discovery pursuant to the Revised Scheduling Order issued on August 23, 2023.


Erin M. Wirth
Chief Administrative Law Judge